Business Management HL · Set A · Paper 3

Question booklet · 75 minutes · 25 marks

Answer all questions. A calculator is permitted. Use the case evidence and show calculations. Write on separate paper.

Resource 1 · Extract from the ThreadWorks charter

ThreadWorks is a social enterprise employing adults returning to work after long-term illness. It repairs work uniforms for hotels. Its charter commits it to paid training and at least 2,400 paid trainee hours annually. Its purpose is to restore confidence, working relationships and financial independence. Thirty trainees are enrolled. Two experienced trainers supervise all workshop shifts.

Resource 2 · Treasurer’s briefing

The enterprise opens the year with unrestricted cash of CU 28,000. At the current operating rate it forecasts a cash deficit of CU 4,000 per month before either proposal. For comparison, assume this cash deficit already includes current paid training and all ordinary costs. The board sets a minimum unrestricted cash balance of CU 12,000.

Resource 3 · Offers received

A hotel chain offers a two-year uniform contract. Before equipment costs, the contract would improve monthly cash flow by CU 7,000 from month 3. Installation costs CU 22,000 at the start of month 1. The contract requires 96% on-time delivery and has late penalties. To meet forecast volume, ThreadWorks would initially reduce paid trainee hours to 1,800 per year.

A foundation instead offers a CU 36,000 restricted grant at the start of month 1 for one additional trainer and 600 extra paid trainee hours over one year. Those extra costs together equal the grant. The award cannot pay ordinary bills, equipment or opening deficits. The offers can be combined only if the hotel agrees to a phased start.

Resource 4 · Pilot and stakeholder interviews

In a four-week pilot, 92 of 100 jobs were delivered on time. A hotel buyer says that it may accept a paid trial with lower volume if independent quality checks are provided. Trainees report that being trusted to sign off work improved their confidence. Trainers say overtime would make supervision unsafe. A supplier is willing to discuss staged payments for the new equipment but has made no commitment.

Pilot week	Jobs due	Jobs delivered on time	Paid trainee hours
1	20	17	50
2	30	27	48
3	25	24	43
4	25	24	41

In weeks 3 and 4 trainers completed the final inspections themselves. These weeks met the buyer’s target, but the programme director questions whether the improvement could be sustained while restoring

trainee responsibility. The board meets monthly. Funding for the additional trainer ends after twelve months.

ThreadWorks · Social enterprise [25]

Use the four resources in your responses.

(a) Using one motivation theory, describe one human need that ThreadWorks helps its trainees meet. **[2]**

(b) Explain two challenges facing ThreadWorks as it seeks to remain financially and socially sustainable. **[6]**

(c) Using all the resources and your knowledge of business management, recommend a plan of action for the next two years that protects both ThreadWorks' finances and its social purpose. **[17]**

End of question booklet · 25 marks